

3.4 PUBLIC SECTOR AND FISCAL POLICY

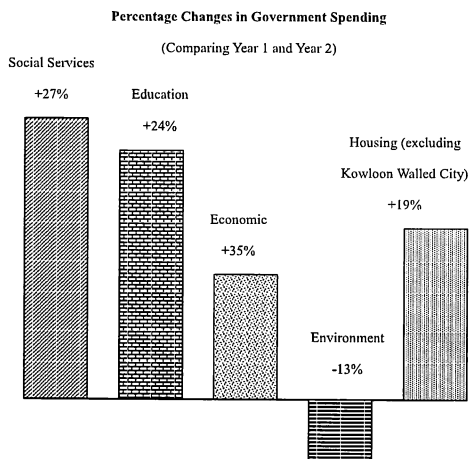
Multiple Choice Questions

1990/CE/II/44

Which of the following is a fiscal policy used to reduce inflation?

- A. a direct control on the rise in wages of workers.
- B. an increase in unemployment benefits.
- C. an increase in the required reserve ratio of banks.
- D. a decrease in the spending on an environmental protection scheme.

1991/CE/II/38



The above chart indicates that

- A. economic services was the largest item of government spending.
- B. the price level was higher in Year 2 than that Year 1.
- C. the government spent less on environment protection in Year 2 than in Year 1.
- D. the spending on the Kowloon Walled City was financed by China.

1991/CE/II/40

Which of the following are tools of fiscal policy in Hong Kong?

- (1) the linked exchange rate
 - (2) government expenditure on infrastructure
 - (3) the standard tax rate
 - (4) the minimum cash reserve ratio
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

1992/CE/II/40

Which of the following is an expansionary fiscal policy?

- A. the introduction of a new tax
- B. the construction of a new airport
- C. the cutting of expenditure in some government departments
- D. the increased purchase of water from China

1992/CE/II/41

A surplus budget will lead to

- A. a decrease in government expenditure.
- B. a fiscal surplus.
- C. a balance of payments surplus.
- D. a contraction of the economy.

1993/CE/II/49

In an economy with unemployment, a deficit budget will lead to

- A. a lower rate of unemployment.
- B. a lower level of national income.
- C. a lower rate of household consumption.
- D. a decrease in government debt.

1994/CE/II/49

Year	1987-88	1988-89	1989-90	1990-91
Public Expenditure	536	648	819	950
GDP	3 690	4 336	4 990	6 588

According to the above table, the size of the public sector as measured by the **RATIO** of public expenditure to GDP over the period 1987-1991 was

- A. getting bigger.
- B. getting smaller.
- C. bigger at the beginner but smaller at the end.
- D. stagnant.

1994/CE/II/50

A _____ budget is one in which the _____ government revenue is greater than the _____ government expenditure.

- A. surplus actual actual
- B. surplus estimated estimated
- C. deficit estimated actual
- D. deficit actual estimated

1995/CE/II/49

In general, a deficit budget will

- A. reduce a country's foreign exchange and gold reserves.
- B. have an expansionary effect on economic activity.
- C. lead to a more uneven distribution of income.
- D. increase the government's debt.

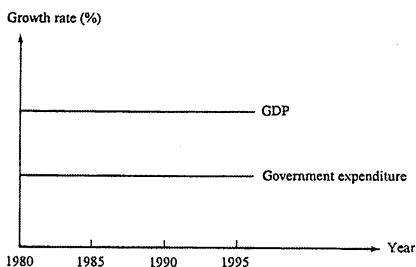
1996/CE/II/39

If the government greatly increases the salaries tax rate to finance the provision of more public assistance to the unemployed,

- A. The government budget will be balanced because the increase in government expenditure will be financed by the increase in tax revenue.
- B. The total consumption of the economy will not change as the decrease in consumption of the rich will be compensated by an increase in the consumption of the poor.
- C. The working incentive will decrease because a higher proportion of salary income will be taxed.
- D. The size of the public sector will remain unchanged because the increased expenditure is matched by the increased tax revenue.

1996/CE/II/42

Refer to the following diagram of an economy:



During the period 1980 to 1995, which of the following can be concluded from the above diagram?

- A. Both the GDP and the government expenditure have not changed in this period.
- B. The GDP increases at the same rate as the government expenditure.
- C. The ratio of government expenditure to GDP decreases over this period.
- D. The growth rate of GDP remains constant because the government expenditure increases at a constant rate.

1997/CE/II/43

Hong Kong's public expenditure as a percentage of GDP has risen steadily in recent years. Which of the following is/are reason(s) for this?

- (1) the progress of the construction projects of the government and the new airport
 - (2) a fall in the GDP in this period
 - (3) a large increase in government welfare payments to the unemployed
- A. (1) only
 - B. (2) only
 - C. (1) and (2) only
 - D. (1), (2) and (3)

1999/CE/II/41

A surplus budget could turn out to be a budgetary deficit if the actual government revenue is _____ than the actual government expenditure and the estimated government revenue is _____ than the estimated government expenditure.

- A. greater greater
- B. smaller greater
- C. greater smaller
- D. smaller smaller

2000/CE/II/44

Suppose the government uses a great amount of its fiscal reserve to develop information technology in education. Which of the following is correct?

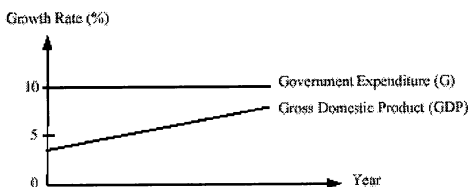
- A. Government expenditure in other sectors will decrease.
- B. The government will have a budget deficit.
- C. The average labour productivity will be higher.
- D. The banking system will be less able to create deposits.

2000/CE/II/45

The government will participate in the project for establishing Disneyland in Hong Kong. During the period of construction, it must

- A. increase the tax burden on taxpayers.
- B. increase the size of the public sector.
- C. increase the ratio of public expenditure to GDP.
- D. discourage the incentive of private investment.

2002/CE/II/41



According to the above graph, the ratio of G to GDP is

- A. increasing.
- B. decreasing.
- C. first increasing and then decreasing.
- D. first decreasing and then increasing.

2008/CE/II/42

According to the 2007-08 Policy Address of the Chief Executive, the Government will launch 10 major infrastructure projects in the coming years. This will result in

- (1) an increase in the GDP of Hong Kong.
 - (2) an increase in the size of the public sector.
 - (3) government budget deficits in the years of construction.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2009/CE/II/45

An increase in the Hong Kong government's expenditure on infrastructure must lead to an increase in

- A. the ratio of public expenditure to GDP in Hong Kong.
- B. the government budget deficits.
- C. the wage rate of workers in Hong Kong.
- D. the potential GDP of Hong Kong in the future.

2010/CE/II/43

During a recession, a government plans to promote economic growth through infrastructural development. As a result,

- (1) the size of the public sector would increase.
- (2) the employment opportunity would increase.
- (3) the government budget would run into a deficit.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2010/CE/II/44

Which of the following will increase in times of economic recovery?

- A. trade surplus
- B. budget deficit
- C. government expenditure
- D. direct tax revenue

2014/DSE/I/25

Year	Year-on-year percentage change in nominal GDP	Year-on-year percentage change in nominal government spending
2011	9.0	12.0
2012	5.5	6.0

Based on the above information, which of the following statements are correct?

- (1) The size of the public sector in the economy increased in 2012.
- (2) Both the nominal GDP and the nominal government spending dropped in 2012.
- (3) A drop in both the real GDP and the real government spending was possible in 2012.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short & Structured Questions

1993/CE/I/5(e)

State **THREE** general aims of a fiscal policy.

(6 marks)

2019/DSE/I/34

Both the wage rate and general price level increase by 8% in a certain year. If the government increases the salaries tax allowance by 5%.

- A. more people will fall into the tax net.
- B. income distribution will become more even,
- C. government's tax revenue will decrease,
- D. people's real income after tax will increase.

2022/DSE/I/34

The following table shows the monetary base and money supply of a country.

Date	Monetary base (\$ billion)	Money supply (\$ billion)
1 January 2020	150	500
1 January 2021	150	800

Which of the following could explain the above data?

- (1) The central bank bought bonds from the public in 2020.
- (2) The central bank increased the discount rate in 2020.
- (3) The central bank lowered the required reserve ratio in 2020.

- A. (3) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

2023/DSE/I/41

Which of the following are examples of an expansionary fiscal policy?

- (1) increasing the child allowance of salaries tax
- (2) launching a consumption voucher scheme
- (3) lowering required reserve ratio

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)